

PT Total Bangun Persada (TOTL.JK) — Management Interview: 10 Key Questions

Companion to [key-questions.md](#) · 13 August 2026

How to use this

Questions are ordered by how much the answer moves the conclusion, not by logical sequence — calls get cut short, so the things that matter go first. Each is built to be answerable with a number, so that "steady progress" and "strong pipeline" cannot be substituted for one. A refusal is itself information, and each question notes how to read a non-answer.

Three rules for the room:

1. Get the number before the explanation. Once they narrate the logic first, the figure rarely follows.
2. When you are given a range, push on the bottom of it. The top is marketing; the bottom is the judgement.
3. Write down every metric the company cannot answer about itself. A contractor whose reported net margin has gone from 4.0% to 13.1% in four years, and which does not track margin by project type, is telling you it has not internalised the question — and that is worth more than the answer.

This interview has one through-line: where the profit actually comes from. Contract wins, the data-centre story and the debt-free balance sheet are all things the company is happy to discuss and the market already knows. The joint-venture line is not. In 1H2026 it produced Rp101.59bn against Rp10.01bn a year earlier — 96% of the entire increase in net profit — while the consolidated construction business grew its bottom line by roughly 2%. Whether that line is a portfolio or a one-off completion event is the investment.

The second through-line is what management actually believes. That answer is hidden in the arithmetic of their own guidance, not in anything they say about the outlook: FY2026 guidance of Rp350–400bn against a Rp269.8bn first half implies a second half of Rp80–130bn. Make them explain that number.

1. The joint-venture line: what are these ventures, and which gross-profit subtotal is which?

In 1H2026, profit from joint-venture projects was Rp101.59bn, up 914.9% from Rp10.01bn. In Q1 2026 alone it went from Rp2.0bn to Rp62.88bn while revenue fell 1.1%. Reported 1H2026 gross profit was Rp364.63bn, but Q1 disclosure refers to "gross profit after joint-venture project profit." Which ventures generate this income, what stage of completion is each at, and is the Rp364.63bn figure before or after the JV line?

Why this is first: It decides whether you are valuing Rp510bn of earnings or Rp340bn. Strip the JV line out on a 1:1 basis and 1H2026 net profit rose from Rp164.5bn to Rp168.2bn — +2.3% on revenue up 22.8%. Even taxing the JV income at the consolidated rate only gets you to +14.3%, still well below revenue growth. On no reading is "+54.6%" an operating result.

Follow-ups: TOTL has run KSO (*kerja sama operasi*) joint operations with Shimizu for a decade — Astra Tower and MNC Media Tower are the named precedents — and in 2015 KSO income was Rp62.3bn, 32.5% of net profit, before falling 55.5% the following half. Is the current line the same kind of arrangement? Long-term investments rose from Rp207.08bn to Rp290.33bn in Q1 2026 including Rp20bn of fresh JV investment — how much JV profit has actually been remitted in cash, and how much is still sitting in the ventures? When does each venture complete?

How to read it: If the income is spread across several live projects at differing stages, this is a recurring line and the stock is on ~6x FY2026. If it concentrates in one or two jobs now finishing, it is a completion event and 2026 is the peak. If they will not name the ventures at all, price it as the latter — there is no commercial reason to withhold the identity of a joint operation whose partner is a listed Japanese contractor.

2. Why does FY2026 guidance imply a second half at half the first?

Guidance for 2026 is revenue Rp3.8–3.9tn and net profit Rp350–400bn, with new contracts of Rp4–5tn. First-half net profit was already Rp269.8bn. That implies 2H2026 profit of Rp80–130bn — roughly a third to a half of the first half. Is that deliberate conservatism, or an expectation about a specific line?

Why this is second: Because the honest answer is either "we sandbag" or "the JV income is not repeating," and those are different investments. The base rate says sandbagging:

Year	Guided profit	Actual	Outcome
2021	Rp75bn	Rp101.7bn	Beat +36%
2023	Rp95bn	Rp172.7bn	Beat +82%
2025	Rp255bn	Rp414.3bn	Beat +62%

New contracts tell the same story: Rp5.08tn against a Rp4.5tn target in 2024, Rp6.87tn against Rp5tn in 2025. Four consecutive years of guiding low. But a sandbagged target and a JV-inflated first half are perfectly compatible — netted together they land almost exactly on Rp350–400bn, which is precisely why this question has to be asked directly rather than inferred.

Follow-up: Is the guidance set bottom-up from the contracted backlog, or is it a board-level target? Has it been revised since the 1H results were filed on 29 July?

How to read it: "We are being prudent" with no reference to any specific line is the sandbagging answer and is bullish. Any hedging that touches project completions, joint ventures, or "one-off items in the first half" is the bearish answer, and it confirms Q1.

3. STT GDC: how concentrated is it, and how long does the campus run?

PT STT GDC Indonesia was the largest customer in FY2025 at Rp654.2bn — 16.8% of revenue, up roughly 30x. STT GDC has launched STT Jakarta 2 (24MW), topped out Jakarta 3, and broken ground on Jakarta 5 and 6, heading toward a nine-building, 360MW campus. What share of 1H2026 revenue and of the Rp2.78tn of new contracts came from STT GDC? Is TOTL contracted for the remaining buildings, or does each one re-tender?

Why ask: This is the growth engine and it is one customer, one sponsor, one capex committee. The pipeline is unusually visible from outside — STT GDC announces its own milestones — but visibility of the buildings is not the same as contractual claim on them. If each building re-tenders, the "360MW campus" is a pipeline TOTL competes for, not a backlog it owns.

Follow-ups: Are data-centre gross margins above or below the traditional building work, and by how many percentage points? Are there other data-centre clients beyond STT GDC, and what is the second-largest? What proportion of a data-centre contract value is pass-through equipment versus TOTL's own scope?

How to read it: A named contractual position across multiple buildings is the single most valuable fact available on this stock. "We have a strong relationship" means each building is a tender.

4. What is the carry-over backlog, and how fast does it burn?

The company discloses new contract wins (Rp6.87tn in 2025, Rp2.78tn in 1H2026) and a Rp17.7tn tender pipeline, but not a carry-over order book. What was total backlog at 30 June 2026, and what is its scheduled revenue recognition for 2H2026, 2027 and beyond?

Why ask: Pipeline is not backlog, and new contract intake is decelerating from a record. 1H2026's Rp2.78tn was up 11.6% on 1H2025's Rp2.49tn, but the full-year target of Rp4–5tn is below 2025's Rp6.87tn, and 2H2025 alone produced Rp4.38tn. Without backlog and burn, there is no way to distinguish "conservative target" from "the core market downturn has reached the order book."

Follow-up: What is the average contract duration, and has it lengthened as data centres have grown as a share? What proportion of backlog is with clients who have themselves deferred or re-phased?

How to read it: A backlog-to-revenue ratio below roughly 1.5x with intake guided down is the first hard evidence that 2027 revenue declines — and 2027 is the year nobody is modelling.

5. How much of the Rp1.09tn cash is actually distributable?

Cash was Rp1.09tn at December 2025 against current liabilities of Rp2.52tn — the cash is 43% of them — with total liabilities of Rp2.71tn and no interest-bearing debt. How much of that cash is customer advances and undisbursed subcontractor payments, and how much is genuinely unencumbered? What is the peak-to-trough working capital swing across a year?

Why ask: "Net cash, no debt" is the load-bearing claim in the bull case, and for contractors it is routinely overstated — much of the balance is project float that belongs to somebody else. The distinction changes the valuation directly: treat all Rp1.09tn as excess and the stock is on ~5.6x EV/earnings; treat none of it as excess and it is ~7.7x. It also matters because at a 90.5% payout there is no retained buffer — if working capital turns, the dividend absorbs it.

Follow-ups: What were net operating cash flow and capex for FY2025 and 1H2026? (Only the gross receipt and payment lines are publicly visible: 1H2026 receipts of Rp2,219.1bn against payments of Rp1,989.0bn.) What are the receivable and retention ageing profiles? Retention receivables were Rp398.6bn at March 2026 — what is the average release period?

How to read it: During calendar 2025 the company paid a Rp255.75bn dividend and cash still rose Rp60bn, implying at least ~Rp315bn of cash generation against Rp414.3bn of reported profit — about 76%

conversion. If management cannot reconcile the gap, the most likely explanation is unremitted JV income, which points back to Q1.

6. What changed between a 4.0% net margin in 2022 and 13.1% in 1H2026?

Net margin has gone 4.0% (2022) → 8.6% (2024) → 10.6% (2025) → 13.1% (1H2026), and gross margin from 11.9% (2020) to 19.3% (2025). What are gross margins by project type — data centre, hospital, hotel, office, industrial — for FY2024, FY2025 and 1H2026? How much of the improvement is mix, how much is pricing, and how much is the joint-venture line sitting inside a gross-profit subtotal?

Why ask: A 2.6x change in net margin on the same business model, in four years, has never had to be explained publicly because coverage of this stock is negligible. Three explanations fit and they price completely differently: mix (durable while the data-centre campus builds), presentation (not a margin at all — see Q1), and scarcity pricing because the state contractors are financially impaired and cannot compete for private work (reverses when they recover).

Follow-up: What is the current spread between tendered and realised margin on completed projects? Has TOTL been able to pass through material cost inflation, and are contracts fixed-price or escalating?

How to read it: If two of the three project types show flat margins, the improvement is mix and it is durable. If margins are up everywhere at once, it is pricing, and the question becomes how long private-sector contractor scarcity lasts.

7. Shimizu at 19.90%: what is the relationship, and why no board seat?

Shimizu acquired 19.90% via voluntary tender at Rp580/share for Rp393.58bn in September 2024, having partnered with TOTL on KSO projects for a decade. The May 2026 board slate contains no identifiable Shimizu representative — the President Commissioner is Rusdy Daryono, an independent. What are Shimizu's governance rights? Is there a shareholders' agreement, standstill, right of first refusal, or any put/call arrangement over Total Inti Persada's 56.5%?

Why ask: 19.90% is a very deliberate number — placed just under the thresholds at which Indonesian ownership rules and equity-accounting presumptions change. A partner that has effectively audited TOTL from the inside for ten years and then bought just under a fifth of it, at a price now roughly half the market, is

either the most patient strategic investor in the sector or is staged. A 19.9% holder with no board seat is either extremely passive or waiting, and which one it is is the largest unpriced variable in the name.

Follow-ups: Does Shimizu have any commercial preference — referred work, technology transfer, pricing arrangements? Is Shimizu a counterparty in any of the joint ventures in Q1? If so, how are project economics split, and who approves that split?

How to read it: If Shimizu is both the 19.9% shareholder and the JV partner generating Rp101.59bn, this stops being an accounting question and becomes a related-party one. That combination would need the split of project economics disclosed before any of the earnings can be capitalised.

8. Directors have sold every month since May. What changed?

Director Saleh sold 620,000 shares at Rp1,050 (19 May), 236,700 at Rp1,050 (14 July), 578,800 at Rp1,100 (30 July) and 750,800 at Rp1,160; Director Moeljati Soetrisno sold 220,000 on 5–6 August at about Rp1,239. Meanwhile Djadjang Tanuwidjaja, an outside individual, has gone from 8.81% to 10.88%. Is there a disclosed trading policy or plan behind the director sales, and are any further disposals scheduled?

Why ask: The sums are small and the stated reasons are ordinary ("take profit," "personal purposes"). But on a ~11% free float — roughly Rp430bn of tradeable stock — the directors have been the marginal seller at every price from Rp1,050 to Rp1,239, in the same months the company was reporting +54.6% profit growth. A director bought 450,000 shares in 2022, so this cohort does transact both ways; the 2026 pattern is a change.

Follow-up: Does the company operate closed periods around results, and were the 30 July and 5–6 August sales inside or outside one relative to the 29 July filing?

How to read it: Insider selling is weak evidence on its own. It becomes strong evidence if it continues after management has told you the second-half step-down is mere conservatism — you cannot hold both positions at once.

9. Total Persada Development, and the ten new business lines

On 5 December 2024 the company converted Rp245.40bn of loans to PT Total Persada Development — outstanding since 2013 — into equity, prompting an exchange query on 23 December. Eleven months later, the 3 November 2025 EGM added ten new business classifications (energy civil works, water infrastructure, ports, oil and gas, telecom hubs, chemical and pharmaceutical facilities). What are TPD's assets worth today, is any impairment still to be taken, and is the expansion of permitted activities a licensing formality or a spending plan?

Why ask: TPD is the one place this company has demonstrably destroyed capital — Rp245bn, equal to 59% of FY2025 net profit, lent to a subsidiary that could not repay it for eleven years. It was disclosed and handled cleanly, and it is sunk. But it is the base rate for how TOTL performs outside contracting, which is exactly what the ten new business lines contemplate. Note also that TPD holds 99% of PT Adhiguna Utama with the remaining 1% held by PT Total Inti Persada, the controlling shareholder.

Follow-ups: With 2026 capex budgeted at only ~Rp10bn, is any of the new scope funded? Would entry into energy or water infrastructure mean bidding for government-funded work — reversing the private-sector-only discipline that is the main reason this balance sheet is clean?

How to read it: "Clarifying permitted scope for licensing" is the benign answer and is consistent with the Rp10bn capex. Any answer involving investment, concessions or equity stakes in projects should be treated as a change in the business model and re-underwritten.

10. Capital allocation at a 90% payout

Dividends have gone Rp40 (FY2023, 79% payout) → Rp75 (FY2024, 96.3%) → Rp110 (FY2025, 90.5%), against 2026 capex of about Rp10bn. Is there a formal payout policy, what is the minimum cash balance the board will hold, and under what circumstances would the dividend be cut?

Why ask: At a ~9.5% yield, the dividend is the investment case for most holders, and at a 90% payout it is also the shock absorber for any working-capital reversal. The policy question is therefore the risk question. It is also the honest way to ask about the ~11% float: with no reinvestment need, no debt and no acquisitions, distribution is the only use of capital on offer.

Follow-ups: Has a buyback been considered? Would the board contemplate anything that improves free float and liquidity? Given that TOTL earns a ~33% ROE on 496 employees, what is the constraint on growing revenue — capital, people, or the number of acceptable clients?

How to read it: A stated minimum cash balance is the single most useful figure here, because it converts Q5 from an argument into arithmetic: cash above that line is genuinely excess and belongs in enterprise value.

Reserves (if time allows)

11 — Subcontractor capacity and pricing power. Which contractors does TOTL actually lose tenders to, and has the field thinned as the state contractors became financially impaired? Is subcontractor and skilled-labour availability a constraint on taking more work — industry commentary flags workforce availability as a persistent bottleneck.

12 — Tax. Indonesian construction services are generally subject to final income tax levied on revenue rather than profit. What is the effective rate, does it apply to all revenue lines, and how is the joint-venture income taxed — at the venture or on consolidation? This directly determines the 1:1 assumption in Q1.

13 — Free float and index eligibility. With Total Inti Persada 56.5%, Shimizu 19.9%, Djadjang Tanuwidjaja 10.88% and Pinarto Sutanto 1.83%, the public float is about 11%. Is there any intention to increase it? Does the low float constrain the shareholder base the company wants?

14 — Medium-term targets. A 2028 revenue target of Rp3.8tn has been reported; FY2025 revenue was already Rp3.90tn. Is that target real, and if so has it been reset? A three-year plan delivered three years early either means the plan was unambitious or the last two years were extraordinary — ask which.

Post-meeting self-check

Three tests on the value of the conversation:

1. How many specific numbers did you get? Fewer than four and the call did not reduce uncertainty.
2. Which questions came back as qualitative answers? Those are precisely the metrics the company does not want tracked from outside.
3. Did anything contradict the filings? If so, the periodic reports govern — record the difference and revisit it.

The most important point: the 1H2026 financial statements were filed on 29 July and contain the joint-venture note, the two gross-profit subtotals, net operating cash flow, contract liabilities and receivable ageing. Read them before the call. They answer Q1, Q5 and part of Q6 at no cost, and there is no point spending interview time on what is already public. Concentrate the conversation on what the statements will never show: why 2H guidance implies a halving (Q2), TOTL's contractual position across the remaining STT GDC buildings (Q3), Shimizu's governance rights and whether it is a JV counterparty (Q7), and the board's minimum cash balance (Q10). Those four are the ones that can change the conclusion.